

Incentives

People do what they are rewarded for doing — not what you hoped they'd do. Change the reward, and you change the behavior. Which means whoever sets the reward is steering.

Here is a rule so reliable it's almost a law: people respond to incentives. Offer a reward for something, and you get more of it. Attach a penalty, and you get less. It sounds obvious, and it is — but its power is easy to underestimate, because incentives shape behavior quietly, constantly, and often without anyone deciding to be shaped. You study harder for a class that's graded than one that isn't. A store stays open late because the extra customers are worth it. None of this requires anyone to be greedy or calculating. It's just that the rewards and penalties people *actually face* bend what they do.

And here is the catch that makes incentives one of the most useful — and most slippery — ideas in economics: people respond to the incentive that's really there, *not* the one you intended. Design a reward to encourage one thing, and you'll often get exactly what you literally rewarded, including consequences you never wanted. The tool is neutral. But incentives are almost always *designed* by someone — a boss, a company, a government, an app — and a designed incentive is a way of steering people's behavior, sometimes for their benefit, sometimes for the designer's. Learning to read the incentive in a situation is learning to see the hand on the wheel.

THE TOOL, STATED PLAINLY

An **incentive** is a reward or penalty that influences behavior. People tend to do more of what is rewarded and less of what is punished. Incentives can be money, but also time, status, safety, convenience, or approval — anything people seek or avoid.

Start with the clean version, because it's genuinely powerful and mostly benign. Incentives are how a society gets things done without ordering anyone around. You don't have to command people to grow food, fix cars, or learn medicine — you let those things pay, and people choose them. Incentives align what individuals want for themselves with what others need, turning private motivation into useful work. Most of the cooperation that runs daily life rests on this quiet fact: make the good thing rewarding and the bad thing costly, and behavior tends to follow.

They're also the main tool we have for changing behavior on purpose. Want fewer people to smoke? Raise the cost. Want more solar panels? Subsidize them. Want safer driving? Penalize the dangerous kind. A well-designed incentive can move millions of people toward a goal far more effectively than a lecture or a law that simply forbids — because it works *with* how people already make choices instead of against it. This is real and valuable, and the curriculum takes it seriously before turning to where it goes sideways.

You don't get the behavior you want. You get the behavior you reward. The gap between those two is where most failures hide.

II Why Incentives Go Sideways

The tool is neutral. But two features turn it into a lever — and into the source of an enormous share of the things that go wrong in organizations, markets, and governments.

LEVER 1

You get what you measure

Reward a specific, measurable target and people optimize *that* — not the broader goal you actually cared about. Pay surgeons for survival rates and some avoid the hardest cases. Reward a platform for engagement and it serves outrage. The measure becomes the target, and the target eats the goal. People aren't cheating; they're doing exactly what you rewarded.

LEVER 2

Someone designs the incentive

Incentives rarely fall from the sky — a boss, a company, a lawmaker, an app builds them, and the design encodes *their* aims. A "rewards program," a bonus structure, a notification that pings just so: each steers your behavior toward someone's goal, which may or may not be yours. To set the incentives is to steer the people inside them, often invisibly.

The question to carry everywhere: *in any situation, ask — what behavior is actually being rewarded here, who designed that reward, and is it aimed at my good or theirs? The behavior you see is rarely about people being good or bad. It's about the incentives they face. Change the incentive and the same people behave differently — which means the real question is always who set it, and why.*

III The Same Tool, Three Contexts

Watch the same rule — behavior follows the reward — produce a useful nudge, a backfire, and a quiet act of steering.

CONTEXT ONE · ALIGNED

A tax credit for energy-efficient homes

A government wants less energy wasted, so it makes efficiency pay: insulate your home, get money back. People who never cared about energy do it anyway, because the reward is real. Here the incentive is well-aimed — what's rewarded (efficiency) is what's actually wanted, and the behavior follows cleanly. This is incentive design working as intended: steering millions toward a goal by making the good choice the rewarding one.

| *What's rewarded, and is it what's actually wanted? Here, yes.*

CONTEXT TWO · BACKFIRE

Paying teachers by test scores

A school district wants better learning, so it rewards teachers for higher test scores — a measurable proxy for the goal. But teachers, responding rationally, start teaching to the test, narrowing the curriculum, even avoiding struggling students who'd drag the numbers down. Learning, the actual goal, can suffer while the measured target rises. No one is cheating; everyone is responding to the incentive as designed. The measure became the target and ate the goal — Lever 1, exactly.

| *Is the reward aimed at the real goal — or a measure that's quietly replacing it?*

CONTEXT THREE · STEERING

An app's streaks, badges, and notifications

An app rewards you for opening it every day — a streak you don't want to break, a badge, a buzz that pulls you back. These feel like fun features, but they're designed incentives, built to make *your* time and attention serve the *company's* goal of engagement. You're being steered, skillfully, toward a behavior that profits someone else. Nothing is forced; the incentive simply makes their goal feel like your choice. That's Lever 2 in your pocket.

Who designed this reward, and whose goal does it serve — yours or theirs?

IV Activity — Read the Real Reward

For each setup, name the behavior actually being rewarded (not the one intended), say whether it's aligned with the real goal or likely to backfire, and name who designed the incentive and whose interest it serves.

THE SETUP	WHAT BEHAVIOR IS ACTUALLY REWARDED — ALIGNED OR BACKFIRE?	WHO DESIGNED IT / WHOSE GOAL?
Salespeople paid commission per sale	...	...
A police force rated on number of arrests	...	...
Free shipping over a minimum cart total	...	...
A bonus for finishing projects "on time"	...	...
A deposit you get back for returning the bottle	...	...

WRITE

An incentive that's steering you

Name one incentive you respond to without much thought — a reward program, a grade, a streak, a bonus. What behavior does it actually reward? Who designed it, and does it serve your goals or theirs? Would you act differently if the reward disappeared?

V For Discussion

- 1 "You get the behavior you reward, not the behavior you want." Name a rule or policy that produced exactly what it rewarded — and exactly the opposite of what it intended.

- 2 When a person responds to a bad incentive, is the person at fault, or the person who set the incentive? Does it change how we should respond to the behavior?

- 3 "The measure becomes the target and eats the goal." Why is this so hard to avoid? Can you design a reward that doesn't get gamed — or is some gaming always the price?

- 4 Apps, stores, and employers design incentives to steer you toward their goals. When does that cross from helpful nudge into manipulation? Where's your line?

*Behavior follows the reward, not the intention.
So the most important question is rarely "why did they do that?" —
it's "what were they rewarded for, and who set the reward?"
Find the incentive, and you find the hand on the wheel.*